

Long runway; Pace Will Pick Up

ICICI Lombard General Insurance Company (ICICIGI) Q3FY22's performance was below our estimates on the profitability front mainly on account of the rising cost pressure, lower investment income and elevated loss ratio in Motor OD segment. (Merged figures are presented in the current quarter, hence prior years are not comparable, though QoQ figures have been restated).

- **GWP came in at INR 47.86 Bn** Vs +6.2% QoQ / +16.4% YoY
- **NEP came in at INR 33.12 Bn** Vs +1.9% QoQ / + 26.8% YoY
- **Operating profit came in at INR 2.73 Bn** Vs -40.3% QoQ / -12.5% YoY
- **PAT came in at INR 3.18 Bn**, -28.9% QoQ / +1.3% YoY
- **EPS stood at INR 6.47** vs INR 9.11 QoQ / INR 6.90 YoY

Highlights of the Quarter

- **Combined Ratio:** ICICIGI's combined ratio remained elevated at 104.5% on account of higher expenses ratio at 31.5% vs 29% QoQ (due to investment in growing the retail health business and digital initiatives) and higher motor claim frequency as mobility returns to pre covid levels. We expect the combined ratio to continue to remain elevated in the near term (2 to 3 quarters) until the scale and synergy benefits (of Bharti Axa merger) start flowing into the operating model. The company has reduced its branch network from 400 to 285 in the last few months, which will provide some cost benefits in Q4FY22.
- **Underwriting performance:** Underwriting loss stood at Rs 2.69 bn (vs Rs 1.0 Bn loss in Q2FY22/Rs 1.35 Bn loss in Q3FY21). The overall loss ratio up by 370 bps YoY (-20 bps) to 69.6% driven by motor OD segment (71.8% vs. 62.8% QoQ/ 63.2% YoY), Engineering segment (79.9% vs. 54.8% QoQ/ 37.6% YoY) and Health, Travel & PA segment (75.1% vs. 71.4% QoQ/ 74.6% YoY). However, fire (39.7% vs 64.6% QoQ/ 56.5% YoY) and marine (65.9% vs 89.9% QoQ/ 79.7% YoY) shown improvement.
- **Investment income:** The Company's investment income down by 3.6% QoQ to Rs 6.9Bn, with capital gain of Rs 1.31 Bn vs Rs 1.44 Bn in Q3FY22. As of Dec 2021, the company had total unrealized gain of Rs 13.16 Bn (Sep'21: Rs 18.82 Bn) including Rs 6.37 Bn of unrealized gain on the equity portfolio. Investment assets grew 25.3% YoY/0.7% QoQ to Rs 374.5 Bn, with investment leverage at 4.23x (Vs 4.27x QoQ). ROAE stood at 14.6% for Q3FY22 (vs 17.6% in Q3FY21) and solvency ratio at 2.45x as on Dec 31, 2021 (vs. 2.49x QoQ).

Financial Summary

Y/E Mar (Rs Bn)	FY19	FY20	FY21E	FY22E	FY23E
Gross direct premium income	145	133	140	189	222
net profit	10	12	15	14	21
Net worth	53	61	74	94	110
BVPS (Rs)	117	135	164	191	224
EPS (Rs)	23	26	32	30	42
P/BV (x)	12	11	9	7	6
P/E (x)	62	54	44	48	34
Combined Ratio	98.8	100.4	99.8	105.1	100.6
RoE (%)	21	21	22	17	20

Source: Dalal & Broacha Research, Company



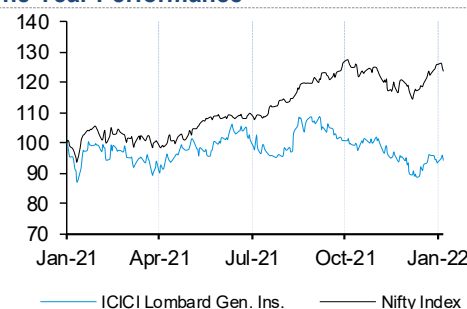
Rating	TP (Rs)	Up/Dn (%)
HOLD	1,600	12

Market data

Current price	Rs	1,426
Market Cap (Rs.Bn)	(Rs Bn)	700
Market Cap (US\$ Mn)	(US\$ Mn)	9,381
Face Value	Rs	10
52 Weeks High/Low	Rs	1,703 / 1,295
Average Daily Volume	('000)	1,719
BSE Code		540716
Bloomberg		ICICIGI.IN

Source: Bloomberg

One Year Performance



Source: Bloomberg

% Shareholding	Dec-21	Sep-21
Promoters	48.1	48.1
Public	52.0	51.9
Total	100	100

Source: BSE

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Motor segment

- The Premium growth in Motor segment (7.21% YoY with Motor TP up 17.8% YoY/Motor OD down by 2.06% YoY) remained subdued due to the lack of Motor TP rate hike for over two consecutive years, heightened competitive intensity in Motor OD, chip shortages in new private car sales etc.
- While these are short-term challenges, the company is looking to grow its market share in certain key profitable sub-segments. It is also expanding its distribution network in tier 3 and tier 4 cities (agents including POS increased to 81,969 in Q3FY22 vs 78,035 QoQ).

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Health insurance segment

- Health insurance continued to show robust growth (31% YoY) primarily driven by group health, while growth in retail health has moderated since Q2FY22, due to base effect.
- The company has increased pricing on its corporate health portfolio by 15- 20%. Despite the same, ICICIGI is able to retain over 90% of its corporate customer accounts, indicating that consumers are willing to pay a higher premium for better coverage.
- To harness this opportunity, the company has added ~400 retail health agency salesforce in Q3FY22, thereby creating an engine to accelerate growth in the segment in the coming quarters.

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Leveraging technology across business

- The company's DigitalOne team is set up like a full-stack insure-tech firm consisting of experts across functions.
- Business sourced through the company's website grew by 20% YoY in Q3 FY22.
- Furthermore, business sourced through Strategic alliance partners in the digital ecosystem grew at 70.2% in Q3 FY22.
- Meanwhile, the company's "IL TakeCare" app, has surpassed 1.1 mn downloads, with successful submission of over 95,000 claims and over 55,000 tele-consultation requests. 79.9% in December 2021, Motor OD claims through InstaSpect (vs 60.8% in March 2021).

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Outlook and valuation

We like ICICIGI for its conservative reserving, prudent risk management practices and negligible asset quality risk, given cash-before-cover model. However, the near-term profitability of the company will remain under pressure due spread of the pandemic as well as the subdued performance of the motor insurance line due to increased competition and absence of any tariff hikes in Motor TP segment for the past two years. Besides, the combined ratio and RoE remain a tad below historic levels due to the merger. We believe cost synergy from the merger is expected to be achieved over the next two to three quarters, while revenue synergy is expected to come over 18-24 months. At CMP the stock trades at 48x its FY22E EPS & 34x its FY23E EPS. We value ICICIGI at FY23E P/EPS multiple of 38x to arrive at a target price of Rs 1600/ share and assign a Hold rating on the stock.

Financials

Results Summary (Rs mn)	2QFY21	3QFY21	4QFY21	1QFY22	2QFY22	3QFY23	% YoY	% QoQ
Policyholders' Account								
Gross premium written	32545	41117	35599	42671	45085	47861	16.4	6.2
New premium written	24922	32089	27648	28083	30528	36551	13.9	19.7
Premium Earned (Net)	24625	26114	26162	31521	32503	33119	26.8	1.9
Income from investments (net)	4086	4419	4198	6685	5518	5322	20.4	-3.5
Other income	123	56	4534	106	61	100	78.5	63.9
Total income	28834	30589	34894	38312	38082	38541	26.0	1.2
Commission	1651	2244	1098	1276	1435	2027	-9.7	41.2
Operating expenses relating to insurance business	6470	8020	7228	8303	9375	10749	34.0	14.6
Incurred claims	16538	17205	18749	28192	22699	23035	33.9	1.5
Total expenses	24659	27468	27075	37771	33510	35811	30.4	6.9
Underwriting profit/ (loss)	-34	-1354	-913	-6249	-1007	-2692	99	167
Operating profit/ (loss)	4175	3121	7819	542	4571	2731	-12.5	-40.3
Shareholders' Account	2QFY21	3QFY21	4QFY21	1QFY22	2QFY22	3QFY23	% YoY	% QoQ
Income in shareholder's account	5412	4521	9207	2562	6313	4381	-3.1	-30.6
Total Expenses	-134	338	4706	-20	374	171	-49.4	-54.2
Profit before taxes	5546	4182	4501	2583	5939	4209	0.6	-29.1
Provision for taxes	1388	1047	1044	640	1472	1034	-1.2	-29.7
Profit after tax	4157	3135	3457	1943	4467	3175	1.3	-28.9
Analytical ratios (reported)	2QFY21	3QFY21	4QFY21	1QFY22	2QFY22	3QFY23	% YoY	% QoQ
Solvency ratio	2.7	2.8	2.9	2.6	2.5	2.5	-31 bps	-4 bps
Expense ratio	30.2	29.4	29.8	27.8	29.0	31.5	210 bps	250 bps
Net retention ratio	76.6	78.0	77.7	65.8	67.7	76.4	-160 bps	870 bps
Combined ratio	99.7	97.9	101.8	123.5	105.3	104.5	660 bps	-80 bps

Source: Dalal & Broacha Research, Company

Financial Summary

(Year-end March)	FY20	FY21	FY22E	FY23E
Gross direct premium income	133128	140031	189338	222087
Net Earned Premium	94035	100140	129707	155311
Operating profit/(loss)	15440	19554	18849	27334
Profit before tax	16968	19540	19378	27543
Profit after tax	11937	14731	14495	20602
Pre-exceptional EPS (Rs)	26	32	30	42
BVPS (Rs)	135	164	191	224
Dividend payout (%)	16	15	20	22
ROE	21	21	16	19
ROE (w/o Fair value change)	21	22	17	20
P/B	10.6	8.7	7.4	6.4
P/E	54	44	48	34

Source: Dalal & Broacha Research, Company

(Year-end March)	FY20	FY21	FY22E	FY23E
Operating profit/(Loss)	15,440	19,554	18,849	27,334
- Fire Insurance business	951	2,376	2,502	2,442
- Marine Insurance business	355	-99	-71	-81
- Misc. Insurance business	14,134	17,278	16,418	24,973
Income from Investments	4,644	5,046	6,679	7,739
Other income - misc income	156	124	124	124
Total Income	20,240	24,725	25,652	35,197
Total Expenses	3,272	5,185	6,274	7,654
Profit Before Tax	16,968	19,540	19,378	27,543
Tax	5,031	4,809	4,883	6,941
Profit After Tax	11,937	14,731	14,495	20,602

Source: Dalal & Broacha Research, Company

(Year-end March)	FY20	FY21	FY22E	FY23E
Shareholders' Funds				
Share capital	4545	4546	4905	4905
Reserve and surplus	56798	69809	89027	105097
Fair Value change	-4286	6805	9080	9080
Borrowings	4850	4850	2550	2550
Total	61906	86010	105563	121632
Application of funds				
Investments				
Shareholders'	58596	74357	94040	113977
Policyholders'	204672	234565	302278	352197
Fixed assets	6766	6268	6093	5984
Deferred tax asset	3063	3499	3939	3939
Current assets				
Cash and bank balances	326	2276	1101	862
Advances and other assets	96998	72013	111547	116857
Sub-Total (A)	97325	74290	112648	117718
Current liabilities	249798	240995	325662	384252
Provisions	58717	65974	70847	87931
Sub-Total (B)	308515	306968	396509	472183
Total	61906	86010	122489	121632

Source: Dalal & Broacha Research, Company

(Year-end March)	FY20	FY21	FY22E	FY23E
Growth Ratios (%)				
Gross Direct Premium Income	-8	5	35	17
Net Premium Income	12	6	30	20
Operating Expenses	11	7	37	14
PAT	14	23	-2	42
EPS	14	23	-9	42
Profitability Ratios (%)				
Commission To NEP	3.9	6.0	5.6	5.5
Opex to NEP	24.4	27.3	28.7	26.1
Combined Ratio	100.4	99.8	105.1	100.6
Balance Sheet Ratios (%)				
ROE	20.8	21.7	17.2	20.2
Investment Leverage	4.2	4.1	4.2	4.2

Source: Dalal & Broacha Research, Company

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